Richmond Fedâ€™s Tom Barkin on the Surprisingly Resilient Real Economy

Podcast: Odd lots

AI Executive Summary

1. **Core Thesis** The economic landscape is currently resilient due to sustained consumer spending, driven by a mindset of rebuilding wealth and "borrowing from the future," despite elevated inflation caused by external shocks (e.g., oil prices). Fed Chair Kevin Warsh advocates for more restrictive policy to address 65 months of above-target inflation, which Tom Barkin acknowledges as valid but cautions requires careful balance against potential negative economic impacts. AI is currently impacting labor and productivity more than anticipated, with significant investment in data centers crowding out other construction sectors. While the immediate housing market is cooling, demand remains high for new inventory to prevent future price spikes, and tariff refunds are providing short-term stimulus to earnings without broadly triggering systemic inflationary pressure on consumers.

2. **Key Arguments & Data**

3. **Fed Policy & Inflation:** Warsh views inflation as moving in the wrong direction despite economic solid GDP numbers; Barkin agrees policy is not restrictive enough. Warsh cites 65 months of inflation above target; Barkin offers a "47-month + 18-month" defense for the current cycle, suggesting external shocks (tariffs, oil) reset inflation expectations.
4. **Consumer Behavior:** Consumers are finding money to spend via borrowing from the future (savings rates down, delinquency often at 60 days rather than 120 due to fear of losing cars/homes). There is strong reliance on private label brands, Walmart/Dollar stores, and working from home where rent savings fund other spending.
5. **AI Impact:** Productivity boom is not yet massive across most sectors but visible in specific areas (call centers, compliance, documentation). Workers use AI as a tool for speed rather than a substitute for jobs; executives are more enthusiastic about the tech than workers. AI investment has doubled versus historic rates.
6. **Construction & Labor Scarcity:** A monumental construction investment cycle with $700 billion announced in one week (Feb 2024).

Skilled trades and materials are short supply. While office building starts are down, industrial starts are coming back. Data center construction is crowding out other sectors, increasing costs for general construction.

7. **Housing Market:** Multifamily and single-family prices remain manageable but demand is high due to inventory shortages (millennials needing second houses). If supply isn't met, prices will rise again. The "housing tightness" risk is higher than previously perceived due to the generation seeking homes.
8. **Tariffs & Earnings:** Refunds from tariffs are stimulative for B2B earnings but may not pass through fully to consumer prices (retailers struggle with low-to-moderate income customers). B2C companies are passing on costs where wealthy customer segments allow, but pushback is real in the big-box retail sector.

9. **Forward Guidance:** While Barkin supports transparency to build credibility, he warns against over-reliance on "dot plots" (SCP) which can overwhelm the narrative and box policy makers into suboptimal decisions if not paired with clear reaction functions.

10. **Actionable Takeaways**

11. **Monitor Non-Inflationary Drivers:** Pay attention to consumer spending patterns (de-savings, reliance on credit/debt) as a sign of underlying economic strength that may counteract inflationary impulses.
12. **Watch Construction Cycles:** Investors should track skilled labor availability and material costs, as data center crowding out effects are likely driving up general construction expenses and limiting multi-family development.
13. **Prepare for Housing Market Volatility:** Due to demographic demand (second children) meeting low inventory levels, anticipate potential price increases if the rental market does not absorb demand efficiently.
14. **Evaluate AI Investment:** Assess company AI adoption based on specific operational gains (compliance, documentation) rather than broad productivity metrics currently visible in the wider market.

15. **Assess Fed Communication Strategy:** Expect continued debate regarding forward guidance; investors should distinguish between policy direction and reaction function narratives when analyzing Fed meeting minutes or speeches.

Full Transcript

Gain insight on the innovators, disruptors, and tech-driven trends shaping today's complex economy. I'm Carol Masser. And I'm Tim Stenevich. Wrap up your workday with the Bloomberg Business Week Daily Podcast. We bring you deeper dives into the stories shaping your world from the evolution of AI to the shifting priorities of global business. Plus Silicon Valley power players and the latest tech trends. Catch up on the conversations you miss during the day. Subscribe to the Bloomberg Business Week Daily Podcast on Apple, Spotify, or anywhere. you listen. Bloomberg Audio Studios. Podcasts, radio, news. Hello and welcome to another episode of the Oddbots podcast. I'm Tracy Allaway. And I'm Joe Weisenthal. Joe, we're still in Jackson Hole. That's right. Plenty to talk about. Plenty. We just got the speech from Fedshare Kevin Warsh. That's right. Which I think most people would describe as hawk-ish, although maybe...

There's kind of a gap in between the hawk and the ish part. Sure. And there's still plenty of questions about the direction of the US economy and monetary policy in general. So we should talk a little bit more about it. We should. And beyond that, you know, there's many theoretical questions out there. What is the neutral rate of interest? What is the role of AI on productivity? And all of that is very interesting. Where's the term premium at? But also it'd be interesting to know what the central bankers are hearing about actual businesses right now. And like. What's going on on the ground? On the ground color. Okay. And there is one man that we go to for on the ground color. We have the perfect guest, of course. We're going to be speaking with Richmond Fed president, Tom Barkin. So Tom, thank you so much for coming back on a lot. Great to be back with you. I think it's my third year in a row here in Jackson Hole. Oh, we appreciate it. Yeah. No, and they let you outside of the hotel room. We get the two tons in the back. So this is great. The production values have gone up, I will say. Okay. So let's just start very simply. Warsh's speech. What'd you think?

I mean, he does a great job. He's a great speaker. And I thought it was a very authentic speech. I mean, Kevin laid out, I think, how he sees the

world. He laid out how he sees the economy. The folks I've talked to appreciated the clarity in the thing. And I personally thought he had a very accurate sense of the economy. So I was very much aligned with what he said. And I thought he said it well. So he said, OK, inflation seems to be going in the wrong direction right now. He described policy as not restrictive. So then you fill in the blanks. And it's like, OK, that means rate hikes. But he didn't quite say that. Just for you, as you see things, A, you'd agree about inflation and the stance of policy. But then more importantly, then what do we do about it? Yeah. So the economy's solid. I think he said that. Yeah. And you can definitely see that in the GDP numbers and the consumer spending numbers. I mean, it's been crazy this year that gas prices went up and consumer spending accelerated.

It's been crazy that you have all this uncertainty and artificial intelligence spending has led business investment to almost double versus this historic thing. So there's a lot of momentum in the economy. Jobs market seems to have stabilized. Unemployment rates low. So all that's good. And I'm not saying inflation is just heading the wrong direction. It's just not in the right place. And that's how I think it's not in the right place. I also would say the job market's good, but it's not frothy. I mean, those low-fire thing continues. That's where the policy thing will figure out. I've had the number one thing people have asked me after his speeches. Well, I guess that tells you something for September. And I said, well, I listen to his speech, and I'm pretty sure he doesn't like forward guidance. So I don't think you should take any forward guidance from a speech from a guy who doesn't give forward guidance. I think it's probably a good way to think about it. You can't help ourselves, is the problem. No, I know.

Talk about the economy in a very good way, and then you can talk about forward guidance. If you choose not to do forward guidance, you don't do forward guidance. I want to talk more about forward guidance. But since you mentioned the resilience of the economy, do you have a working theory for what's going on here? Because I think to your point earlier, it's surprised a lot of people that even with prices still pretty high, gas going up, all the economic uncertainty consumers keep spending. They do keep spending. And I would compare it to coming out of the Great Recession, where out of the Great Recession, you had people who lost their jobs, lost their house,

lost their car, savings destroyed, needed rebuild for retirement. We had five, six, seven years, the secular stagnation, where people weren't spending the way you thought they would. I compare it to COVID. We thought for two months it was going to be terrible. But then coming out of it, people had money in their pockets. You had stimulus. You had spending, money you hadn't spent. You had equity values up. You had home values up.

And I think you had a mindset that just says, I'm bound and determined to spend. And so we all know the wealthy people are spending because they have more wealth. But even those with less wealth, what I hear is a very creative consumer, figuring out ways to find money, to spend money, to borrow from the future. You can see the finding money and the growth of private label, the move to Walmart and dollar stores, if you look at their results. But people aren't carrying insurance. There's a story in the journal a couple of weeks ago about more people living from home. You know, you and I think more people living from home, oh my God, my kids are coming back. I think, wait a second, those are people not paying rent and they're using that money to spend on something else. And I've talked to auto lenders who talk about people being 60 days delinquent, not 120 days delinquent because they don't want to, they need to find the money but they don't want to lose their car.

I've talked to gas providers who say people aren't paying the gas bill during the summer because no one's going to have a problem with gas in the summer. It's the winter that matters. So people are finding ways to effectively borrow from the future. Savings rates down. And I think that's what's keeping the spending going. And underneath it all is this just positive energy to keep spending. And I really do think as long as the markets are healthy and people have jobs, they're going to keep finding a way to spend. That was a very good sort of summary of one of the engines of the economy that's clearly continuing to fire. We traveled with you. Was that 2023 or 2024 that we were in Mount Airy? 24, I think. 2024. And at that point, one of the things, you know, we were talking about sort of rural housing issues, rural childcare issues, but also in one of the themes that came up was the scarcity of skilled trades. Yeah. And now I have to imagine it's much worse because every, you know, if you're skilled electrician, you probably are working.

at least in theory, the AI boom, et cetera. We talked to Austin Gulesby yesterday, or I'm lost time. We talked to Austin Gulesby maybe two days ago. And he's like, yes, we hear a lot of people complaining about the scarcity of skilled trades and the AI build out. People are always complaining. He wasn't sure how much is actually related to data center and AI construction. What's your read on the scarcity of parts, materials, and labor for general things, and the degree to which AI investment is crowding out and making life more difficult for other types of industry? Yeah, so it's been a monumental construction investment cycle. 700 billion announced in one week, I think, at the beginning of February alone. And for sure.

If you're trying to find switch gears or transformers or electricians, they are very hot and in very short supply. So there's no doubt in my mind that there are constraints being put on it. I think the overall construction cycle, though, it's fascinating because office buildings aren't being built. Multifamily starts our way down. You do have industrialists starting to come back. Home building's OK, not great. And so I do think there's been a big movement. in terms of construction from one sector of the construction market into another sector of the construction market. Now how much of that is crowding out I think is a good question because when I talk to people in let's say multi-family construction they'll tell me you can't pencil it out and they want to talk about interest rates and of course I say well is it really interest rates because We had the same interest rates in 04 and 05 and you're building lots of buildings. And then they'll acknowledge that construction costs are up and labor costs are up and they have to put more equity into projects and all that kind of stuff. And so it's more than that. But you could argue.

that all this data center construction is making it more expensive to do this other construction, which means they're not doing this other construction because it's more expensive. So there's a chicken and egg question in there. Just within your district, I know you travel around and as we said, you like to talk to people on the ground and actual businesses, but what are the most notable impacts of AI that you're seeing so far, whether it's on something like the labor market in the low, higher, low fire environment or prices? Well, so it's interesting. I mean, the number one impact is a political impact. And what I mean by that is... Every chamber of commerce meeting I do,

every town hall I do, I'm getting questions about jobs and water and data centers and all the rest of it. It's really quite striking. And you can see when you travel the issues on people's minds by the questions they ask. In terms of the economy itself, I don't think it's having this massive productivity impact quite yet outside of just a couple areas where there really is a structure where you can substitute an agent for call centers, programming.

I mean, you see it there. There's some heavy documentation compliance documents. But by and large, the productivity boom we're seeing, which is significant, I think has really been driven by O22 when you had people, short workers. And so they invested in automation. They invested new staffing models in different operating processes. And they're reaping the benefits of those today. And people are enthusiastic owners. executives are enthusiastic about AI, workers somewhat less, but it's still being very much used as a extra added, get my job done better, get my job done faster kind of thing. The one place you see those on the hiring side, because this may not be true for Bloomberg, but in everywhere else in the economy, people are saying, I don't know what the future looks like, maybe I don't need to hire as much. I wonder whether AI can do that job.

Why don't you leverage and see if you can't fill the job using AI first and then we'll hire later? That's happening, you know, at some scale. And so I do think that's the place, you know, where it's most relevant. You know, one thing that's clearly working in, I guess, the Fed's favor when it comes to the dual mandate is the housing market is pretty, you know, it's not very hot. Numbers there are going in the right direction, so to speak, from a getting inflation back to target perspective. But how confident are you that that will persist, especially if we've had softness in construction? Then eventually, do you have any anxiety that eventually then that turns into housing tightness again? Oh, I think that's highly likely. You know, at some point you won't have a... You've got a whole generation of people who really want houses and the price isn't quite right for them. At some point...

they'll have their second kid and they need a bigger house. And so the demand will come. And then if you don't have the housing inventory, whether it's rental or... single family, then the prices will go back up. I will say, we sort of got in the mode a few years ago that I think we should back

off of, of trying to take the inflation data and parse it, you know, and take this part out of it and this part out of it. It's very tempting to do that, to find, to torture it and get the answer you want. And I was getting, for a while, you know, when rents were coming, where market rent numbers were coming down faster than the CPI rent numbers, I was getting emails from real estate developers saying, you've got your numbers wrong and the rents are coming down.

Well, I'm not getting those emails anymore. You know, they're not saying, hey, let's take the article that Apple, you know, your Apple phone just got more expensive. No, I mean, so you don't want to over parse it. You want to say overall, there's about a money in the system. There's an amount of... goods people are trying to buy with that money. Maybe prices of housing came down, but maybe prices of something go up. And you're looking at inflation as a total basket. That's how I like to think about it. Yeah, so Warsh was talking about this yesterday. He was talking about looking at the breadth of inflation and things like that. And I'm curious, do you still see, he was also talking about a lot of the one-off shocks that we've seen. So the Iran war and the impact on gas prices and things like that.

Is the overall environment just more inflationary in general when we see these one-off shocks that just seem to keep coming, right? It's like, this month it's this one thing and okay, maybe it'll fade away into the background after a while, but then the next month there's another thing on the way. It seems like it. And I think the question is normal today or was normal 10 years ago. And I think normal may be a lot more like today than it was. 10 years ago. If you think about the environment of 10 years ago, fracking and what that did to help bring energy prices down. And demographics, which meant you have more workers and kept wage costs under control. And e-commerce, which was bringing prices down for stuff you bought online. And there were just a bunch of globalization, access. All these factors, which were, I think, bringing inflation down, I don't think it's ridiculous to imagine that 10 years later you might have a bunch of factors that would bring inflation up.

The inflation we realize in time depends on what we do about it. So just because, you know, I like to use the analogy of sailing, you know, you just

sail differently. If you've got the wind behind you that if you're sailing into the wind, you can still get there. You just have to, you know, tighten your sheet. And I think that's the kind of risk we've got if you're in a world with an ever continuing sets of inflationary shocks, you just have to lean against that wind. Hi, I'm Barry Rithaltz inviting you to join me for the Masters in Business podcast. Every week we bring you conversations with the people who shape markets, investing, and business. I speak with CEOs, Nobel laureates, market innovators, and legendary investors. Whether you own stocks, bonds, real estate commodities, even crypto, these are discussions you absolutely need to hear.

Subscribe to the Masters in Business podcast on Apple Spotify or anywhere you listen. So obviously one of the things that came up in the speech and again we know that uh chairman wars is not a fan of forward guidance there's going to be these task forces etc that may revisit some of the uh feds approaches to communications etc would you be on board would say you know what we don't need dots anymore we don't need to have press conferences like for most of Fed's history, the chair didn't have a press conference. Would you, in your mind, should all of these things be on the table? Should you be talking to us right now? Yeah, yeah, seriously. So there's sort of, there was someone who said the theory of a great mind is being able to hold two opposable thoughts at the same time. So I hold the following two thoughts to be very clear. One is, If we're relatively transparent about how we think about things, that helps build credibility with the public, it helps build trust in the institution, and it helps markets do some of the work for you. That's the famous Bernanke theory. I also 100% agree with Chairman Warsh when he says, sometimes if you give too much forward guidance, you get stuck in it, and you end up having to make a suboptimal decision because you've misguided. And I think it's fair to say that's part of the 2021-2022 story, which is we had very strong forward guidance in place. And it was very hard to get your way out of it. So I can hold both those thoughts.

you know at the same time and I hope to keep coming and talking to you as long as you'll have me. What about like dots like these specific techniques? So we'll have to debate the techniques and I'm sure we will. My view on the on the SCP is I really like doing the SCP. I mean I like negotiating, arguing,

debating with my team. My policy bias next to my economy bias. And it often happens that I've gotten a little out of whack. I mean, I still think the policy ought to be that, but I'm not really thinking about it in the right way. And we have those debates, and I feel it really sharpens my thinking. So regardless of whether we release it or not, I plan to keep doing an SEP, because I think that having your own forecast and working against the forecast is a pretty healthy thing. Now, should we release it? The one thing I don't like about the SEP is I think the dot plot itself is a picture that overwhelms the story.

and I've said this in other forums, but if what comes out is I go do a Chamber of Commerce in Greensboro and somebody says to me, well, I see the Fed promised two more rate cuts this year, then that's not good communication, because that's not what we've done. We've done a set of forecasts independently. And so good communication to me has to communicate well. And if what's happening is that picture is swamping the narrative, then we can get to think differently about the picture. So I take the point that there's a risk with forward guidance that the Fed could get boxed into a certain decision in a suboptimal way. But that said, and I also take the point that there's a distinction between forward guidance and the reaction function in general. But all of that said, at some point, if inflation is above target, you would think the Fed needs to act. And Warsh kind of insinuated this in his speech. He talked about, well, inflation's been above target for what was it, 65 months or something. And he said that is squarely on the Fed. When you hear something like that, I mean, you were in the room, you were at the Fed for part or all of the past 65 months. What do you think? What's your reaction? Well, I'm definitely 100% insistent on getting inflation under control. And I think it's fair to hold that mirror against what we're doing and ask ourselves the question of whether we're doing it the right way. I think there are two ways you can look at where we are today. You can take a 65 month view or you can take a I'll get the months right. A 47-month view followed by an 18-month view. And if you do this second, which I'm not arguing for, I'm just saying it's a perfectly defensible way to do it, is you say inflation happened. Maybe we were a little slow. We raised rates. Inflation came down. If you go to March of 2025, you've got 2.3%, 2.4% inflation, and everything seems to be headed in the right direction. The economy's moving. The labor market was a little

weak. You're going to the plane is going to land. And then, of course, you've had this series of external shocks, whether it be AI or tariffs or oil price increases. And that's taken inflation right back up. But you could argue in that, and then we'll bring it down. That is an argument. It's a colorable argument. And it's not a 65-month argument. It's a 47- and 18-month argument. On the other hand, you say, don't give me your excuses. It's been 65 months, and it's been over.

maybe rates aren't that restrictive and maybe you have to think about it. And that's the argument I'm sure we're gonna have. What are manufacturers in your district saying about tariffs these days? It feels like it's just become behind AI and oil shock. We don't even talk about trade. Oh, it's a lot quieter than it is now. But I mean, it depends what sector you're in. I mean, if you're a steel or aluminum manufacturer that's created a price umbrella that's helped your industry. If you're somebody moving operations into the country, you know, there's a real argument there. The people who are the most unhappy about it are the people who it affects the most. And the ones who are most poignant if I could put it that way are the foreign manufacturers.

who have assembly operations. Many of them are in South and North Carolina. And they said, no, we've actually moved manufacturing to the US. But what that actually means is they create their components in Europe, and they ship them to the US, and then they assemble them. They're still getting tariffed. And so you have those sorts of stories out there. you know quietly what's happened on the tariff side is the numbers went up the collections were never as big as the numbers were and then the Supreme Court ruled and they've put through all these refunds so one of the reasons you're not hearing a lot about it is for the last three or four months people have been collecting refunds as opposed to paying more tariffs and when you're collecting you're not talking about it quite as much you know when it's working to your advantage. Are the refunds stimulative in your mind?

I mean, it's a decent chunk of money. It has to go somewhere. They're very positive for earnings. If you read through the earnings reports of the people who've gotten the refunds, you hear they're going to reinvest it in the customer. You hear a lot of that. Reinvestment in the customer occasionally

is price. But I think it's a lot more marketing, store refits, staffing levels. So positive earnings are stimulative. I mean, companies do. less likely to do layoffs, more likely to hire, more likely to invest. So it is stimulative. But is it coming through to price, I think in very targeted ways, but not in a massive system-wide way? Well, this was also going to be my next question because there was a debate about the tariff pass-through into price. And I think some people would have said when the tariffs were first announced, well, consumers are stretched, companies aren't going to be able to pass them on. But now we've seen consumer spending just, you know.

stay resilient as we discussed earlier. How are you thinking about that pass-through ability now? So the B2B companies I talked to, to a person, they're convinced they're passing it through. Tariff costs have come in, I've had to pass it through. I know they don't like it on the other side, but what am I going to do? We have to do it. And they tell me they've been pretty successful at passing it through. If you're a B2C company, back in April of 25, you would have said, oh yeah, I've got to pass it through. A lot of them had trouble. passing it through. Easier if you serve wealthy customers, harder if you serve less wealthy customers. But those people who sell into the major big box retailers, they tell me they're having a devil of a time trying to pass it through. And the mindset of those retailers is, I need to find some price to give to my customers. So I think the consumer pushback is very real. It's most real B2C. It's most real low to moderate income.

you know, B to C. And then you might say, you just told me earnings were good. How's that happening? And that's where the productivity stuff comes in. There's been very little wage pressure and people are really driving productivity. Again, through the set of things I think that they launched three or four years ago. Those big box retailers, they're truly our strongest soldiers in the fight against inflation, holding the line on prices on behalf of the customer. Well, that's another, you know, I was talking about all the disinflationary stuff in that. 2010s, the rise of the big box retails, the rise of private label brands, all those things help keep prices under control and help keep spending okay. You're saying we didn't know how good we had. I want to actually go back to just because it's so in the news these days, you mentioned you go around and people talk about data centers and stuff like that. And the picture that I always have in my mind, I haven't done any on

the ground reporting on this topic, but the picture I have in my mind is a lot of people very anxious about it, and then a town manager or mayor like trying to explain to them, no, it's going to bring your property bill down or actually have plenty, you know, then the people are upset. Is that more or less the shape of it that you have some people either at the business community or the town management community that says that this could be a good thing. And they're trying to persuade the citizens that actually could be like, is that more or less right? Here's the thing. If I have a manufacturing plant in my hometown, then the kids of the.

people who work in the manufacturing plant are on the baseball team and on the football team and on the hockey team. And if you have a data center, they don't have very many employees. So people don't really know. So the data center thing is exactly what you described. You've got the economic developers talking about how great this is for the tax base and the citizen saying whatever version of I don't like what it's doing to water. I don't like how it looks. I don't trust AI. You know, it's been politicized in that way. But I think at its core, It doesn't, it brings tax dollars, but it doesn't bring enough workers after the construction for the citizens to have friends who work in the data centers. And so there's no political base. I tease sometimes that they ought to name an elementary school after, you know, Microsoft or Google or whoever and say, you know, here's Google, they just brought you this, you know, if you're going to market, they just brought you this elementary school. But that's not how people think about it.

Is there a point at which the political pushback against data centers becomes a big enough economic issue that the Fed has to pay attention to it? Because if you think about price pressures in the economy, a lot of them are coming through on the construction side because of the data center buildout. If you think about growth components, a lot of people will say that the AI buildout is a big driver of that. Well, I like to say we're going to grow the AI. footprint of this country massively, but we have no idea how massively. We're going to grow the data center footprint massively. We have no idea how massively we're going to grow the energy ability. And the one thing we know is we're going to get those numbers wrong. And so we don't know whether we're going to get the number too many or too few. And so, you know, there could be a backlash on data centers and maybe that'll be the

perfect thing to do economically because we won't over build the way we would have otherwise over build or maybe they're won't. And now we're going to under build. So yes, it could have a big impact, but.

I do not have, I need AI forecasting skills to help me figure out how big this thing's gonna be because you're trying to meet a very significant moving target. Have you tried asking chat GPT what it thinks? Just type it in, just ask. I've also asked chat GBD to try to write a speech for me, and I didn't think it did a very good job. It could never capture your voice. Have you been back to Mount Arias since we've been there? I've been through. Not even stopped, but I've definitely driven through. I think we should. And I was in Greensboro just this week. I was thinking, can we do a revisit? How striking the questions we would be asking now are versus 2024. Can we maybe like in 2027, like I don't know what year schedule is like. Absolutely. But there's like, because I'm curious about, you know.

the state of housing obviously. I'm curious how that big textile manufacturer that was doing the synthetic textiles is doing. I'm curious about- The car port companies. The car ports and like there's just a bunch of things it would be fun to go revisit that. No we'd love to have you back and I'm in West Virginia next week if you guys have any time we'll take you there. Oh sure I'm on vacation next week. Well okay speaking of AI we've mentioned productivity. quite a lot already. But there is this assumption that at some point, you might get this big productivity boom. And so maybe that gives the Fed a little bit of room when it comes to things like our star and the neutral rate of interest. How far ahead should the Fed be looking when it comes to expecting that productivity boom? Because in the here and now, it's not that evident. And in the here and now, its most tangible impact on the economy is higher prices.

I think it's really hard to make a forecast of what it's going to do a year, two, three years from now. Like I say, the range of possible outcomes is very wide. In addition, how that outcome plays out in terms of prices or borrowing rates, because you could be crowding out capital or labor employment is a big deal. And I think Kevin said this yesterday. could have models of this thing that end up looking very inflationary and you have to move one way or things that look, you know, very distressing for the

economy to have to go another way. And there's 18 different versions in between. And so, you know, we can argue about the direction, but I think you've got to get, you know, some more confidence before you can make too much policy based on an assumption. I just have one last question. And I know you're going to play it coy, but so I will not ask you, you know, what are we doing at the next meeting? No, no, not even have the two worst meetings felt.

Substantively different than public meetings. We have a it's We've been in these meetings for a long time. They're relatively structured in how they go. I believe, as part of these task forces, we're going to take a fresh look at everything we do, including these meetings. But by and large, they've looked like the meetings we've had. And the chair has shown up and led very well. And I think he does like this idea of a family fight is a phrase he likes to use. And he encourages that kind of debate. We certainly have that. Is the nature of the debate feeling more open or different? Or would you say that parliamentarians were also a family fight?

There are a lot of different families. OK, all right. Good to know. I'm thinking of that. What's that Russian quote? Yeah, all unhappy. Well, I had my last question was going to be something related. But we know that one of the distinctive things about you and the way you fill the role as regional Fed president is that you like to gather anecdotes on the ground color. Are there particular anecdotes or data series that Warsh is interested in versus Powell? Are there particular? things when you come to him and you say, you know, I was talking to the carport company yesterday and they mentioned this, that he's really interested in. Well, so what I try to do is I try to come up with a synthesis that backs off from individual anecdotes. I think the anecdote doesn't, everyone likes a good story, but it doesn't really move policy. But if you can synthesize, you know, like what we're talking about consumers spending and where the B2C and the B2B, both Jay and Kevin, in my impression, have been very attentive.

to that. They live more in a cloister. I get to go out a lot more than they get to go out, because the press follows them everywhere. And so I think they really do want to hear what's happening there. And then the challenge and the commitment I try to make is to tie it to whatever the issues are we have

on the ground. productivity has expanded, what's driving it, how long is it going to last? We've talked about that. Inflation, underlying inflation, what's happening in the consumer world. I think I try to tie it to those things and then bring a synthesis. And that's where I try to do it. And I think they're both very appreciative of it. At least they tell me that. All right. Well, Tom, thank you so much for coming back on all thoughts. And hopefully we can all do another road trip in Mount Airy. We'll see you next year here and maybe in Mount Airy. Really look forward to it. Thanks, you guys. I love.

chatting with Tom you know what I thought was really interesting is um his description of the creative ways consumers are continuing to spend, which actually I don't think has gotten the attention probably it's deserved, right? Because there's so much talk about, you know, the inflationary impulse from all the business investment happening right now. And then people talk about oil, etc. But the de-saving or the de-saving and the going into debt and finding ways to continue to consume We hear about it a little bit. We talk about it and we talk about BNPL and stuff like that, but maybe that's the thing we should be paying more attention to. I always thought this strong consumption was like maybe...

sort of like a nihilistic response to the pandemic experience. But you actually, you don't see it that much in the savings rate, right? Like, I think the savings rate has gone down, but it's not like- No, it's not plummeted, right? No, it doesn't feel like the sort of spending that you would expect before like, oh, the- or the upcoming hyperinflation where everyone's going out and buying silver candles. Well, you probably buy silver candlesticks, but everyone else- Yeah, I'm sure you do. But you know what I'm saying? It doesn't feel like that, but it does sound like the app- appetite to keep buying stuff. He laid it out very well, which I thought was interesting. And I do think going back to Mount Airy next year would be a really good idea because if you just think back to 2024, I mean, we didn't ask a single AI related question, right?

No, I agree. And like the price has something bad about us as a journalist, but yeah, no, no one none of them were talking about it and they weren't asked the textile company. Are you using chat GPT in your daily operations? I don't think they would have had a response. Yeah, I can't

really remember. But they certainly no one was about data centers the same degree. And that boom really has been basically over the last two years. So really like since we since we were Past there. Yeah, we got to go back. There's some really interesting questions out there and I gotta get some answers. Another OddLots road trip. Sounds good. Shall we leave it there for now? Let's leave it there. This has been another episode of the OddLots podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wasenthal. You can follow me at the stalwart. Follow our producers, Carmen Rodriguez, at Kerman, Herman Dashelbenet, at Dashbot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano.

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